

Ticker: SKE CN **PF cash:** C\$54m **Project:** Eskay Creek
Market cap: C\$624m **Price:** C\$8.24/sh **Country:** Canada, BC
REC. (unc): BUY **TARGET (+0.20):** C\$11.00/sh **RISK RATING (unc):** HIGH

While never coming as fast as investors would like, that today's charter syncs in well with previously published build schedules de-risks the existing project / valuation today given the three-way agreements between issuer, government and First Nations. In fact, the consolidation of federal and state assessments into a single federally-acceptable state process could be seen as being just as useful, as would pre-permitting works expected this year and next. With construction completion scheduled for 2H25 we model 22koz payable AuEq pre-production gold ahead of 410koz production / 364koz payable in CY26 'Y1', which we maintain now. Modelling the 0.5% NSR sold to Franco for C\$27m and rolling our model forward, **we maintain our BUY rating lift our PT from C\$10.80/sh to C\$11.00/sh PT based on 0.6xNAV_{5%-1700}**. Although a short window from permits to concentrate sales, we anticipate this to be de-risked by project funding this year and completion of civils / roads and mill buildings even in CY23/24 to compress timelines, although timing of course remains a risk. The offset to that risk ironically is time, with 1xNAV5% rolled forward to CY26 of C\$19.36/sh at our LT US\$1,700/oz and US\$20/oz Au/Ag, lifting to C\$26.23/sh at spot US\$1,915/oz and C\$24.06/oz Ag.

Permitting process charter signing syncs to CY26 production; 0.5% NSR sale for C\$27m, PT lifted

Permitting: Skeena has signed a permitting 'Process Charter' with the Tahltan Central Government, and the Government of BC, establishing a workplan for EA and permitting targeted for 2H24 and 1H25, respectively, in line with project timelines. The project received a 'Readiness Decision' in 4Q22, including consolidation of twin Federal / BC impact assessments into a single BC assessment that meets state and federal requirements. Royalty sale: On December 30th 2022, Skeena closed the sale of 0.5% NSR on Eskay Creek to Franco-Nevada in return for C\$27m cash and contingent cash of C\$1.5m. In connection, Skeena terminated Franco-Nevada's right of first refusal to purchase a 0.5% NSR on Eskay Creek.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, and DFS optimizations in coming 12M

Catalysts

- 1H23: Potential funding / for early works
- CY23-24: Early works / civils / roads / bridges
- CY25: Permitting, construction completion
- CY26: First concentrate sales

Research

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Ticker: SKE CN	Price / mkt cap: C\$8.24/sh, C\$624m	Project PNAV today: 0.42x	Asset: Eskay Creek / Snip
Author: B Salier/ E Magdzinski	Rec / 0.6xNAV PT: BUY, C\$11/sh	1xNAV_{1Q22} FF FD: C\$19.80/sh	Country: Canada: BC

Commodity price	CY18A	CY19A	CY20A	CY21A	CY22E	Resource / Reserve	AuEq (koz)	AuEq (g/t)
Gold price	1,700	1,700	1,700	1,700	1,700	Pittable resource	5329koz	3.20g/t
SOTP project valuation*						Underground resource	279koz	5.23g/t
		C\$m	O/ship	NAVx	C\$/sh	Snip	646koz	13.60g/t

Ungeared proj. @ build start (3Q23)	1,612	100%	1.00x	19.44		Funding: uses			Funding: sources		
Cash 3Q22+royalty sale	54	100%	1.00x	0.65		Build Capex	C\$592m		Cash 3Q22+royalty sale	C\$71m	
Cash from options	55	100%	1.00x	0.67		SCPe G&A to 1st Au + NSR buyback	C\$28m		Mine debt @ 65% gearing	C\$385m	
Rsr ex rsv @US\$50/oz	92	100%	1.00x	1.11		SCPe pre-production expl'n	C\$0m		Mine build equity at 0.4xNAV	C\$207m	
Snip (US\$75/oz)	65	100%	1.00x	0.79		SCPe finance costs + wkg cap	C\$38m		Total proceeds	C\$663m	
Asset NAV5% C\$1700/oz		1,879		22.7		Total uses	C\$659m		Buffer	C\$4m	
*Shares diluted for options but not mine build						*Cash from options expiring pre first pour					
Market P/NAV5%, 3Q22											

<i>*Shares diluted for options but not mine build</i>				Market P/NAV5% _{3Q22}	0.36x	<i>*Cash from options expiring pre first pour</i>				
Share data				Ratio analysis		CY21A	CY22E	CY23E	CY24E	CY25E
Basic shares (m)	75.8	FD with build equity raise	109.1	Average shares out (m)		91.9	71.2	94.3	96.9	96.9
FD with options (m)	82.9				EPS (C\$/sh)	-	-	-	-	-

Project NPV (C\$m)*	\$1500oz	\$1600oz	\$1700oz	\$1800oz	\$1900oz	EV (C\$m)	CY21A	CY22E	CY23E	CY24E	CY25E
10.0% discount	1,173	1,310	1,445	1,581	1,716						
7.5% discount	1,340	1,493	1,645	1,796	1,948						
5.0% discount	1,537	1,708	1,879	2,050	2,220						
Ungeared project IRR:	41%	44%	48%	51%	54%						
Project NPV (C\$/sh)*	\$1500oz	\$1600oz	\$1700oz	\$1800oz	\$1900oz	Income statement	CY21A	CY22E	CY23E	CY24E	CY25E
10.0% discount	14.15	15.79	17.42	19.06	20.69	Net revenue (C\$m)					
7.5% discount	16.16	17.99	19.83	21.65	23.48						
5.0% discount	18.53	20.59	22.7	24.71	26.76						

*Project level NPV, excl finance costs and central SG&A, discounted to build start

Group valuation over time^	Mar-23	Mar-24	Mar-25	Mar-26	Mar-27	EBITDA (C\$m)	CY21A	CY22E	CY23E	CY24E	CY25E
Eskay Creek (C\$m)	1,595	1,717	2,001	2,399	2,279						
Net cash prior qtr (C\$m)	23	169	(24)	(337)	(163)						
G&A and finance costs (C\$m)	(96)	(107)	(99)	(75)	(31)						
Cash from options (C\$m)	55	55	55	55	55						
Snip	65	65	65	65	65						
NAV FF FD (C\$m)	1,642	1,899	1,998	2,107	2,205						
1xNAV _{5%} /sh FF FD (C\$/sh)	19.80^	17.41*	18.32*	19.32*	20.21*						

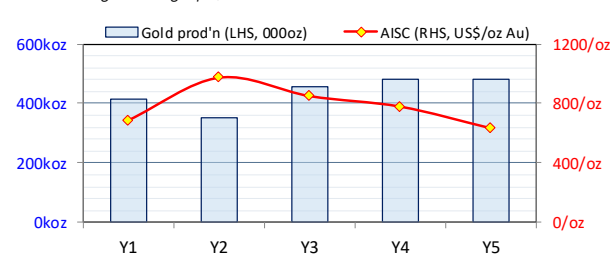
Geared company NAV diluted for mine build, net G&A and finance costs

1xNAV FF FD (C\$/sh)^	\$1500oz	\$1600oz	\$1700oz	\$1800oz	\$1900oz	EBITDA (C\$m)	CY21A	CY22E	CY23E	CY24E	CY25E
10.0% discount	1,641	1,820	2,000	2,179	2,359						
7.5% discount	1,723	1,910	2,097	2,284	2,472						
5.0% discount	1,813	2,009	2,205	2,401	2,597						
Geared project IRR:	39%	42%	45%	49%	52%						
1xNAV FF FD (C\$/sh)^	\$1500oz	\$1600oz	\$1700oz	\$1800oz	\$1900oz	EBITDA (C\$m)	CY21A	CY22E	CY23E	CY24E	CY25E
10.0% discount	13.15	15.11	17.10	19.11	21.14						
7.5% discount	14.41	16.49	18.59	20.71	22.85						
5.0% discount	15.78	17.99	20.2	22.46	24.72						

^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity

Production	Y1	Y2	Y3	Y4	Y5	EBITDA (C\$m)	CY21A	CY22E	CY23E	CY24E	CY25E
Gold production (000oz)	413	352	457	481	480						
C1 cost (US\$/oz)	610	896	720	654	588						
AISC cost (US\$/oz)	690	977	852	781	634						

AISC = C1 + ug sustaining capex; Y1 = 12M to Mar 2027



Source: SCP estimates

Balance sheet	CY21A	CY22E	CY23E	CY24E	CY25E
Cash (C\$m)	40.3	23.2	168.5	(23.9)	103.9
Acc rec., inv, prepaid (C\$m)	13.9	7.4	7.4	8.5	6.0
PP&E + other (C\$m)	100.8	124.2	137.1	316.4	606.7
Total assets (C\$m)	155.0	154.8	313.1	301.0	716.7
Debt (C\$m)	1.3	1.4	1.4	1.4	442.6
Accounts payable (C\$m)	12.5	20.6	20.6	20.6	0.6
Others (C\$m)	17.6	3.6	3.6	3.6	3.6
Total liabilities (C\$m)	31.4	25.6	25.6	25.6	446.9
Sh'hlds equity + wrnts (C\$m)	362.0	448.9	623.3	623.3	623.3
Retained earn'gs + rsvs (C\$m)	(238.4)	(319.7)	(335.9)	(348.0)	(353.5)
Liabilities + equity (C\$m)	155.0	154.8	313.1	301.0	716.7

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Summary of Recommendations as of January 2023	
BUY:	52
HOLD:	1
SELL:	0
UNDER REVIEW:	1
TENDER:	0
NOT RATED:	0
TOTAL	54

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